WAVERLEY GATEWAY GUIDE

Connecting International Capital with Emerging & Frontier Markets

OMAN

Middle East

Information current as of October 2026

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office@lordwaverley.com
www.lordwaverley.com

WHERE AND HOW TO ENTER

KEY INVESTMENT LOCATIONS

Location / Region	Strategic Importance	Priority Sectors
Muscat	Capital and seat of government, home to the Muscat Stock Exchange and the Mina Al Fahal crude export terminal	Financial services, government, tourism, professional services
Duqm Special Economic Zone (Arabian Sea)	Flagship zone on the open Arabian Sea; ten agreements worth about $7.5 billion signed in June 2026, led by a RO1.6 billion green hydrogen expansion	Green hydrogen, power, petrochemicals, battery materials, logistics
Sohar Port and Freezone (Gulf of Oman)	Industrial port outside the Strait of Hormuz; holds 26% of committed zone investment and reported a 52% jump in cargo throughput in H1 2026	Metals, petrochemicals, logistics, food security
Salalah and Dhofar	Arabian Sea transshipment hub; Salalah Free Zone holds the largest share (28%) of committed zone investment	Port logistics, manufacturing, tourism, agriculture
Khazaen Economic City	Inland logistics and industrial city near Muscat, with added investment up about 63% in 2025	Logistics, warehousing, light industry
Central and southern oil and gas fields	Onshore concessions underpinning about 1.2 million barrels a day of crude capacity and growing gas output	Upstream oil and gas, oilfield services
Musandam (Strait of Hormuz)	Omani territory on the southern shore of the Strait; central to Oman's role in talks on future Hormuz navigation arrangements	Maritime services, security, tourism (longer term)

INVESTOR ENTRY ROUTES

- Ministry of Commerce, Industry and Investment Promotion (Invest Oman) provides facilitation, sector guidance and online company registration for foreign investors
- Foreign Capital Investment Law (in force since January 2020) permits up to 100% foreign ownership in most sectors and removes minimum-capital requirements, subject to a limited restricted-activities list
- Public Authority for Special Economic Zones and Free Zones (OPAZ), covering Duqm, Sohar, Salalah and Al Mazunah plus industrial estates, with RO22.4 billion (about $58 billion) of committed investment and 325 new agreements in 2025
- Omani rial pegged to the US dollar, with free repatriation of capital and profits; the Central Bank of Oman moves its policy rate in line with the US Federal Reserve

- Competitive tax regime: 15% corporate income tax and 5% VAT, with a 5% personal income tax applying from 2028 only to individuals earning over RO42,000 a year
- Sector-entry routes through Ministry of Energy and Minerals concessions, Hydrom green hydrogen land blocks and Nama Power and Water Procurement tenders for independent power projects
- Preferential trade platforms, including the US–Oman Free Trade Agreement (2009) and the India–Oman CEPA (in force 1 June 2026), for export-oriented manufacturing

MARKET-ENTRY OBSERVATION

Oman in October 2026 stands out as the Gulf's most resilient economy. GDP grew 2.3% in 2025 and 2.6% in the first quarter of 2026, with oil activity up 4.6% and non-oil activity up 2.4%, and the IMF's October 2026 outlook projects 2.4% growth this year, making Oman the only GCC economy expected to keep growing in 2026; S&P is more optimistic at 3.5%. Fiscal discipline has transformed the public finances: government debt has fallen to about 36% of GDP from 68% in 2020, the first-half 2026 deficit narrowed to just RO17 million, and Fitch and S&P now rate Oman investment grade at BBB-. The stock of foreign direct investment rose 8.1% to RO31.4 billion (about $82 billion) at end-2025, committed investment in economic and free zones reached RO22.4 billion, and the India–Oman CEPA, in force since June 2026, opens a major new market for Omani-based producers.

Oman's main structural challenge is its position beside the Strait of Hormuz during the 2026 Iran war. Between late February and June, drone strikes hit Duqm, Salalah and Sohar and vessels in Omani waters, and in mid-October Hormuz traffic remained close to a standstill. Oman's geography has nonetheless become its principal advantage: its main ports open directly onto the Gulf of Oman and the Arabian Sea, so its trade routes remain unobstructed (S&P), and Sohar, Salalah and Duqm are handling cargo diverted from inside the Gulf, while goods moving on the new Sharjah–Oman logistics corridor rose more than 66% in its first three months. Higher oil prices have strengthened revenues, liquid government assets exceed 40% of GDP, and Oman's long-standing diplomacy keeps it at the centre of talks on future Hormuz navigation. For investors, the opportunity lies in Oman's role as the Gulf's open-sea gateway, with demand for ports, storage, logistics and energy infrastructure set to outlast the conflict.

INVESTOR RISK & MARKET ACCESS

KEY ENTRY BARRIERS

Issue	Potential Impact	Possible Mitigation
Strait of Hormuz closure	Hormuz shipping has been largely halted since early 2026, disrupting regional trade flows and shipping insurance	Oman's main ports lie outside the Strait; route cargo via Sohar, Duqm and Salalah, which are gaining market share as Gulf bypass hubs
Security of ports and energy sites	Drone strikes between late February and June 2026 damaged fuel storage and port facilities at Duqm, Salalah and Sohar; operations have continued	Commission security and war-risk insurance reviews; growing demand for protected storage and redundant logistics is itself an investment opportunity
Diplomatic balancing	Oman's mediation role and talks with Iran on Hormuz navigation have at times drawn criticism from Washington, notably in May 2026	Oman's neutrality gives it access to all parties; monitor US–Oman relations and the evolving Hormuz framework as part of routine planning
Reliance on hydrocarbon revenue	Oil provides about 70% of government revenue and proven reserves are about 5 billion barrels	Vision 2040 diversification, green hydrogen and the 2028 personal income tax broaden the base and create openings in non-oil sectors
Omanisation requirements	Quotas for hiring Omani nationals are a frequently cited operational consideration for foreign firms	Plan workforce strategy early, use available training and employment incentives and engage the zone authorities on applicable ratios
Rising interest rates and inflation	The Central Bank raised its repo rate to 4.5% in September 2026 and inflation was 3.2% in September, led by food	The dollar peg removes currency risk for dollar investors; bank credit grew 11.5% year on year and liquidity ratios are well above regulatory minimums
Approvals and procurement processes	Investors have historically cited slow approvals, payment delays and tender	Use Invest Oman's online services and OPAZ one-stop shops, and structure

Issue	Potential Impact	Possible Mitigation
	transparency as friction points	contracts with clear payment and dispute-resolution terms

INVESTOR RISK NOTE

Oman's risk profile is that of a well-managed, investment-grade economy navigating a major regional shock from a position of growing strength. Debt has roughly halved since 2020 to about 36% of GDP, the budget is close to balance, liquid government assets exceed 40% of GDP and gross foreign currency reserves are close to 20% of GDP, and S&P affirmed Oman at BBB- with a stable outlook in September 2026. The principal risks are external: the 2026 Iran war brought drone strikes on Omani ports and energy facilities between late February and June, and the Strait of Hormuz remained largely closed in mid-October with no ceasefire in place. Oman's open-sea ports, its unobstructed export routes and its standing as a trusted intermediary are significant mitigants, and the IMF expects Oman to be the only GCC economy to grow in 2026. Investors should commission security, insurance and supply-chain due diligence and monitor diplomatic developments, while recognising that Oman's geography positions it to benefit from the Gulf's search for resilient trade routes.

MARKET ACCESS

Oman is a member of the Gulf Cooperation Council customs union and common market, giving access to a market of more than 60 million people, and has been a WTO member since 2000. It is the only GCC state apart from Bahrain with a bilateral free trade agreement with the United States, in force since 2009, and its Comprehensive Economic Partnership Agreement with India entered into force on 1 June 2026, granting duty-free access on about 98% of Omani tariff lines and preferential access to the Indian market; bilateral trade reached $11.2 billion in FY2025-26. Asia is the main destination for Omani crude and LNG exports, with oil and gas making up 65% of total exports in H1 2026. Because Sohar, Duqm and Salalah sit outside the Strait of Hormuz and the Sharjah–Oman corridor links Omani ports by road to the UAE, Oman has become a natural gateway for Gulf-bound trade.

WHO SHOULD THE INVESTOR MEET?

INSTITUTIONAL LANDSCAPE

Actor	Why It Matters	Waverley Engagement Angle
Office of His Majesty Sultan Haitham bin Tarik	Head of state and government; sets Vision 2040 priorities and leads Oman's mediation diplomacy	Primary reference point for Oman's strategic and diplomatic direction
Ministry of Commerce, Industry and Investment Promotion (Invest Oman)	Lead investment promotion and company registration authority, and steward of the India CEPA	Standard first point of contact for market entry and incentives
Public Authority for Special Economic Zones and Free Zones (OPAZ)	Regulator of Duqm SEZ and the Sohar, Salalah and Al Mazunah free zones, which hold RO22.4 billion of committed investment	Key counterpart for industrial, logistics and energy projects in the zones
Oman Investment Authority and Future Fund Oman	Sovereign wealth fund and its RO2 billion (about $5.2 billion) co-investment vehicle targeting private-sector projects	Natural co-investment partner for strategic projects
Central Bank of Oman	Monetary authority; maintains the dollar peg and supervises the banking sector	Relevant for banking licences, financing and currency matters
OQ Group and Ministry of Energy and Minerals	State energy group and sector ministry overseeing oil, gas, refining, petrochemicals and concessions	Essential partners for energy and downstream investment
Hydrom (Hydrogen Oman)	Allocates land and manages large-scale green hydrogen development rounds	Gateway for green hydrogen and renewable-energy investors

CURRENT INTERNATIONAL BUSINESS CHANNELS

The Oman Chamber of Commerce and Industry is the principal domestic business body and a useful partner for introductions and sector intelligence, alongside the American Chamber of Commerce in Oman and the British Business Group Oman. The United Kingdom is by far the largest foreign investor, accounting for more than half of Oman's FDI stock, and the United States is second, so Western energy majors and service companies offer deep in-country networks. Invest Oman and OPAZ hold regular investor events and signing ceremonies, such as the June 2026 Duqm round, while the India–Oman CEPA is generating new bilateral business-council and trade-mission activity. Future Fund Oman and the Oman Investment Authority are increasingly active co-investors and convenors for private-sector projects.

INVESTOR PROFILE BEST SUITED

Oman suits investors seeking a stable, investment-grade Gulf base with open-sea access: port, logistics and storage investors positioned to serve trade diverted from inside the Gulf; energy-transition investors in green hydrogen, renewables and power, building on the Duqm and Hydrom pipelines; industrial and export-oriented manufacturers using the free zones and the new India CEPA and US FTA; and food-security, tourism and services investors aligned with Vision 2040. Oil, gas and petrochemical investors benefit from established infrastructure and long-standing international partnerships, and should build regional security and insurance scenarios into project planning.

FROM INTELLIGENCE TO ENGAGEMENT

STEP 1: Engage Invest Oman and the zone authorities
Open dialogue with the Ministry of Commerce, Industry and Investment Promotion and OPAZ to confirm ownership rules, incentives and site options in Duqm, Sohar or Salalah.

STEP 2: Position for the Hormuz bypass opportunity
Assess demand for port, storage and logistics capacity outside the Strait, including links via the Sharjah–Oman corridor, as Gulf supply chains are redesigned.

STEP 3: Build security and insurance into project planning
Commission war-risk insurance and site-security reviews informed by the 2026 incidents, and monitor progress in Hormuz navigation talks.

STEP 4: Use Oman's trade agreements for export access
Structure manufacturing and processing projects to benefit from the India–Oman CEPA, the US–Oman FTA and GCC market access.

STEP 5: Explore sovereign co-investment
Approach Future Fund Oman and the Oman Investment Authority on co-investment in strategic, energy-transition and diversification projects.